

define our strategy parameters, removing emotional decision-making from the process. For our moving average crossover strategy, we need to define:

1.  
**Asset:** What are we trading? (In our example, Apple stock)
2.  
**Timeframe:** What is our data frequency? (Daily close prices)
3.  
**Moving Average Periods:** How responsive do we want our signals to be? (20-day and 50-day)
4.  
**Position Sizing:** How much capital do we allocate to each trade? (Full position for simplicity)
5.  
**Entry Rules:** When do we buy? (When SMA20 crosses above SMA50)
6.  
**Exit Rules:** When do we sell? (When SMA20 crosses below SMA50)
- 7.

Each of these parameters can be adjusted to create variations of the basic strategy. For example, using shorter moving average periods (like 5-day and 20-day) would create a more responsive system with more frequent trades, while longer periods (like 50-day and 200-day) would generate fewer signals and focus on capturing major trends.

## Visualizing the Strategy

Before diving into backtesting, it's helpful to visualize how our strategy performs on historical data. This visual inspection can provide intuitive insights about when the strategy works well and when it struggles.

```
1. import matplotlib.pyplot as plt
2.
3. # Create a plot
```